

The parties are to appear to discuss rescheduling the mandatory settlement conference, any remaining discovery components that are absent and the withdrawal of the additional discovery motions.

SHAWTIANA HICKS v. MARATHON STAFFING SOLUTIONS, INC. and JOHN STEWART COMPANY
Case Nos. FCS059015, FCS059546

JOHN STEWART's Demurrers to MARATHON's Second Amended Cross-Complaints

TENTATIVE RULING

Cross-Defendant JOHN STEWART COMPANY ("JOHN STEWART") demurs to Cross-Complainant MARATHON STAFFING SOLUTIONS, INC.'s ("MARATHON") second amended cross-complaint in case FCS059015 presenting causes of action for equitable indemnity and declaratory relief. MARATHON alleges that JOHN STEWART is responsible for Plaintiff SHAWTIANA HICKS's damages stemming from wage and hour violations as alleged in her class action complaint.

JOHN STEWART simultaneously demurs to MARATHON's second amended cross-complaint alleging the same causes of action with regard to Plaintiff's representative action under the Private Attorneys General Act in FCS059546. The second amended cross-complaints and demurrers thereto are essentially identical. The court's below ruling applies equally to the demurrer in FCS059015 and the demurrer in FCS059546.

Legal Standard. "The function of a demurrer is to test the sufficiency of the complaint as a matter of law." (*Holiday Matinee, Inc. v. Rambus, Inc.* (2004) 118 Cal.App.4th 1413, 1420.) A complaint is sufficient if it alleges ultimate rather than evidentiary facts, but the plaintiff must set forth the essential facts of his or her case "with reasonable precision and with particularity sufficient to acquaint [the] defendant with the nature, source and extent" of the plaintiff's claim. (*Doheny Park Terrace Homeowners Assn., Inc. v. Truck Ins. Exchange* (2005) 132 Cal.App.4th 1076, 1099.) Legal conclusions are insufficient. (*Id.* at 1098–1099; *Doe v. City of Los Angeles* (2007) 42 Cal.4th 531, 551 at fn. 5 [ultimate facts sufficient].) The Court "assume[s] the truth of the allegations in the complaint, but do[es] not assume the truth of contentions, deductions, or conclusions of law." (*California Logistics, Inc. v. State of California* (2008) 161 Cal.App.4th 242, 247.)

Request for Judicial Notice. Matters subject to judicial notice may support a demurrer under Code of Civil Procedure section 430.30, subdivision (a). JOHN STEWART requests judicial notice of the parties' staffing agreement. If there is and can be no factual dispute about the contents of a written agreement it may be the subject of judicial notice under Evidence Code section 452, subdivision (h). (*Performance Plastering v. Richmond American Homes of California, Inc.* (2007) 153 Cal.App.4th 659, 666 at fn. 2.) There is no dispute about the contents of this document and it is relevant,

considering that MARATHON alleges that the staffing agreement is why JOHN STEWART is a “client employer” and therefore must indemnify MARATHON. (MARATHON 2ACC at ¶¶ 13-15.) The court takes judicial notice of the staffing agreement.

Analysis. Labor Code section 2810.3, subdivision (b)(1) states that a “client employer” and a “labor contractor” “shall share...all civil legal responsibility and civil liability for workers supplied by that labor contractor” for the payment of wages and failure to secure workers’ compensation insurance. Per subdivision (a) a “client employer” is a business entity that obtains or is provided workers to perform labor within the usual course of business from a labor contractor. A “labor contractor” is an entity that supplies a client employer with workers to perform labor in the client employer’s usual course of business.

Labor Code section 2810.3 is not a basis for indemnity from JOHN STEWART for Plaintiff’s wage and hour claims. The statute provides no basis for implying a contract between a client employer and a labor contractor obligating the client employer to obey labor laws and indemnify the labor contractor for violations. The statute simply states that a client employer and labor contractor share responsibility for payment of wages.

MARATHON argues in opposition to demurrer that it does not seek to utilize the staffing contract as a basis for implied contractual indemnity. (Opposition at 10:7-22.) For completeness, to the extent that MARATHON’s second amended cross-complaints nonetheless allege that the agreement is a basis to imply contractual indemnity via an obligation on JOHN STEWART’s part to obey labor laws (e.g., at a paragraphs 15), the court finds that such allegations conflict with the staffing agreement, which contains no contractual obligation on JOHN STEWART’s part to obey labor laws.

Leave to Amend. Leave to amend is proper where identified defects are amenable to cure. (*Vaccaro v. Kaiman* (1998) 63 Cal.App.4th 761, 768.) It is the pleading party’s burden to show the trial court that a reasonable possibility exists that amendment can cure identified defects in that party’s pleading. (*Murphy v. Twitter, Inc.* (2018) 60 Cal.App.5th 12, 42.) MARATHON has not demonstrated a reasonable possibility that amendment can cure identified defects in its pleadings.

Conclusion. JOHN STEWART’s demurrer in FCS059015 is sustained without leave to amend.

JOHN STEWART’s demurrer in FCS059546 is sustained without leave to amend.

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